SEVENTH DISTRICT COURT
Grand County

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IN THE SEVENTH JUDICIAL DISTRICT COURT OF GRAND COUNTY

STATE OF UTAH

BARBARA A. MORRA; et al, Plaintiffs, v. GRAND COUNTY, UTAH; et al, Defendants; CLOUDROCK LAND COMPANY LLC, a Utah limited liability company, Defendant-Intervenor.	:	PLAINTIFFS' COMBINED CROSS MOTION FOR SUMMARY JUDGMENT AND MEMORANDUM IN OPPOSITION TO CLOUDROCK'S MOTION FOR SUMMARY JUDGMENT Case No. 070700108 Honorable Lyle Anderson

INTRODUCTION

Plaintiffs, a group of concerned citizens and neighbors of the development at issue, filed concurrent actions before this Court and before the Grand County Board of Adjustment challenging the County Council's enactment of Ordinance 454. While Plaintiffs believed that

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the Board of Adjustment was the proper forum for the appeal, out of caution a protective appeal was also filed with this Court to guard against loss of appeal rights by failing to appeal within the 30 days provided by Utah Code Ann. § 17-27a-801. Obviously Plaintiffs' caution was well-founded. The County Attorney eventually decided, over Plaintiffs' objections, that Plaintiffs were not entitled to a hearing before the Board of Adjustment. As Plaintiffs believed the County Attorney's decision was erroneous, Plaintiffs then amended their Complaint to include a request for mandamus and a request for declaratory judgment for this Court to remand the appeal and order the Board of Adjustment to hear Plaintiffs' administrative appeal. Before this Court can consider Intervenor Cloudrock's motion for summary judgment,[1] it must consider and decide the threshold jurisdictional question of whether the Board of Adjustment is the proper forum for this appeal. If it is, Plaintiffs' cross-motion for summary judgment should be granted and this Court should remand with instructions to have the Board of Adjustment hear the appeal. The matter would then proceed before the Board of Adjustment.

Even if the Court decides that this Court, rather than the Board of Adjustment, is the proper appellate forum, Intervenor Cloudrock's motion for summary judgment cannot be granted as it is unripe due to the failure of the County to submit to this Court a record of the proceedings relative to the adoption of Ordinance 454 (the "Record"). Thus, Intervenor Cloudrock's motion for summary judgment on the merits of the validity of Ordinance 454 must be denied.

County Ordinance 454 approved an amended master plan, amended preliminary plat, and amended development agreement for a large development proposed by intervenor Cloudrock

[1] The County joined in Cloudrock's motion.

Land Company LLC ("Cloudrock") in an environmentally-sensitive area of Grand County. Plaintiffs have a host of legitimate concerns about the proposed development itself. Plaintiffs also are very concerned that in the process of approving Ordinance 454 and then denying Plaintiffs' attempt to appeal that approval to the Board of Adjustment, the County repeatedly disregarded its own ordinances and denied Plaintiffs due process to which they are entitled. In short, the County's actions have been arbitrary, capricious, and illegal (i.e. contrary to law).

A. Plaintiffs Are Entitled To a Declaratory Judgment and An Order Remanding This Matter to the Grand County Board of Adjustment.

Plaintiffs ask this Court to remand this entire matter back to the Board of Adjustment so that Plaintiffs may exercise their right to an administrative appeal before that body. Unlike a ruling on the merits of this lawsuit, deciding whether this matter should be remanded to the Board of Adjustment does not require review of the Record. The County's denial of Plaintiffs' appeal to the Board is, as further described herein, unlawful, inequitable, tainted by obvious conflicts of interest, and contrary to the County's own precedent in this very same matter. Contrary to Cloudrock's assertions, the gravamen of Plaintiffs' appeal is not the legislative creation of a new zone, but rather the blatant errors made by the County in administering its own land use ordinances and Utah code. Thus an appeal to the Board is proper. Plaintiffs also continue to assert that is was improper for the County Attorney, who was acting as counsel for the party whose decision was being challenged (i.e. the County Council) to act as a self-appointed gatekeeper and thwart the appeal without even letting the Board of Adjustment consider its jurisdiction in a public forum. Furthermore, in 2002 the Board of Adjustment took

jurisdiction and issued a ruling over a similar appeal on this very same proposed development, making the County's current about-face all the more irregular.

B. The Court Cannot Rule on the Merits of Plaintiffs' Petition for Judicial Review Without the Record Which the County Has Failed to Produce.

Cloudrock asks the Court to declare "checkmate" on the merits of Plaintiffs' petition for judicial review when all of the chess pieces are not even on the board yet. The Utah statutes are clear: the County must produce and transmit to the Court the Record of the administrative proceedings, and the Court's review is "limited to the record provided" by the County, unless the Record provided is incomplete. § 17-27a-801(8)(a). Despite Plaintiffs' lawsuit being on file for nearly 8 months, and despite repeated requests from the Plaintiffs, the County still has not produced the Record in this matter as required by Utah Code Ann. § 17-27a-801(7).[2] Thus, the Record, which is by law the factual basis that this Court must rely upon, is not in place. Plaintiffs are concerned, based on past experiences with the County in this matter, that the Record when produced will be incomplete and require supplementation. In any event, to date the County has not provided the Record, and has not indicated when it will do so.

In its supporting memorandum ("Cloudrock's Memorandum"), Cloudrock refers not to the Record but to a binder of documents, many of which were created by Cloudrock or its predecessor. The relationship, if any, of these documents to the Record which this Court is

[2] Plaintiffs are cognizant that they did not serve their Complaint upon the County right away. However, Plaintiffs also appealed Ordinance 454 to the Board of Adjustment in early June 2007, and in accordance with the County Code, the County was required to "forthwith transmit to the Board of Adjustment all the papers constituting the record" of the adoption of Ordinance 454. *See* Grand County Land Use Code Sec. 7.13.2 (Jan. 2007). This apparently was never done. In other words, whether for the lawsuit or the appeal to the Board of Adjustment, the County has a duty to compile and produce the record in a timely manner, and simply has not done so.

required to rely upon, is unknown. This does not meet the requirements of the law, and it would be unduly hasty to decide the merits of the action without the Record when the law requires that this appellate-type action be decided upon the Record. To proceed in the fashion suggested by Cloudrock would materially prejudice Plaintiffs. Furthermore, upon receipt of the Record and full briefing upon the merits, the law and facts will demonstrate that Plaintiffs are entitled to judgment in their favor because the County's actions were arbitrary, capricious, and illegal.[3]

[3] Plaintiffs reserve the right to submit further briefing on the merits when the Record is produced.

RESPONSE TO CLOUDROCK'S STATEMENT OF UNDISPUTED FACTS

1. *In November, 2000, the Moab Mesa Land Company, LLC ("MMLC"), predecessor to Cloudrock, submitted to the Grand County Planning Commission a Sketch Plan for a development of a wilderness lodge and community on lands owned by the State Institutional Trust Lands Administration ("SITLA") located on Johnson's Up-on-Top Mesa in Grand County, Utah. (See Sketch Plan attached as Exhibit D.) This development was first known as the Johnson's Up-on-Top Mesa development and is now often referred to as Cloudrock (the "Development").*

Response: Plaintiffs admit that Cloudrock's predecessor, MMLC, prepared a Sketch Plan which is dated November, 2000 (the "Sketch Plan") for a development proposal and that the land upon which the development is proposed to be built is owned not by Cloudrock or MMLC but by the State of Utah and administered by State Institutional Trust Lands Administration ("SITLA"). Plaintiffs admit that it appears that the Sketch Plan was intended to be presented to the Grand County Planning & Zoning Commission (the "Planning Commission") in November, 2000, but without the Record, Plaintiffs are unable to admit or deny that the Sketch Plan was so submitted and whether or not it is part of the Record upon which this Court must rely. In addition, the Sketch Plan attached as Exhibit D to Cloudrock's Memorandum is incomplete, as it does not include the Exhibits and Appendix 1 referred to therein.

2. *On February 6, 2001, MMLC submitted to the Planning Commission a Preliminary Plat and Preliminary Master Plan ("Original Master Plan") for the Development. (See Original PUD application attached as Exhibit E.)*

Response: Plaintiffs admit that MMLC prepared a document which is dated February 6, 2001 and consists of Preliminary Plat submittals and a Preliminary Master Plan, and which describes a proposed Planned Unit Development ("PUD"), a wilderness lodge use-on-review and special exceptions in the form of Exhibit E to Cloudrock's Memorandum. Plaintiffs

admit that it appears that Exhibit E was intended to be presented to the Planning Commission and the County Council on February 6, 2001, but without the Record, Plaintiffs are unable to admit or deny that Exhibit E was so submitted and is part of the Record. In addition, Exhibit E attached to Cloudrock's Memorandum is incomplete, as Exhibit 11 referred to therein is missing, and is misleading and confusing because it includes a road design map that is dated April, 2007. Plaintiffs also object to Cloudrock's characterization of Exhibit E as the "Original PUD application" because no zoning map and text amendment application was included as required by the Applicable Land Use Code (as defined below in response to paragraph 11). *See* Art. III. R. 3. of Exhibit H to Cloudrock's Memorandum.

3. The Original PUD application sought the following zoning and density configuration for the Development:

i. 225 wilderness lodge units (density of 2.5 acres/unit);
ii. 150 residential condominiums (density of 5 acres/unit);
iii. 110 residential home sites (density of 5 acres/unit);
iv. 55 employee housing units;
v. 525 parking stalls;
vi. 43 acres set aside for roads;
vii. 12 acres set aside for an equestrian center;
viii. 7.5 acres set aside for a recreation area; and
ix. 5 acres set aside for utilities.
(Ex. E.)

Response: Plaintiffs admit that the Exhibit E to the Memorandum included the uses and density described.

4. The Original PUD application requested a use-on-review permit for the wilderness lodge and two special exception permits for an increased lodge unit size and the access road design. (Id.)

Response: Plaintiffs admit that Exhibit E to the Memorandum requested a use-on-review for the wilderness lodge and two special exceptions for an increased lodge unit size and the access road design.

5. The Original PUD application established the basic plan for the water and wastewater systems for the Development along with a stormwater management plan. (Id.)

Response: Plaintiffs deny Cloudrock's characterization that Exhibit E "established" the "basic plan" for the water and wastewater systems and a stormwater management plan. Plaintiffs admit that Exhibit E *identifies possible* water and waste water systems, but without the Record, Plaintiffs are unable to admit or deny whether these possibilities were accepted by the County as establishing the "basic plan." Furthermore, continued reliance on those possible systems is misplaced and inappropriate due to intervening factors and/or subsequent events such as the lapse of the approval of the Cloudrock Development's Preliminary Plat and changes to the Development. In addition, Exhibit E assumes that water and sewer service will be available through the Grand County Water and Sewer Service Agency ("GCWSSA"), but it is still unclear whether Cloudrock has valid commitments for such service. Furthermore, as described in Exhibit E, the waste water collection system "will be designed like a traditional wastewater collection system," (*see* page 8 of 10 of Exhibit E to Cloudrock's Memorandum) and does not address the unique challenges related to safely transporting wastewater off the top of the Johnson's Up-On-Top Mesa (the "Mesa") to a treatment facility located on the valley floor several hundred feet below. Finally, the stormwater management plan described in Exhibit E states that "[d]ue to the geographic nature of the mesa top, there is no off-site stormwater

component to the on-site analysis." Thus, while the Mesa consists of highly fractured Navajo sandstone which itself is very permeable and Exhibit E acknowledges that the "[o]n-site topography [of the Mesa] is characterized by moderate to steep slopes that drain from the mesa top down the sides through networks of dry washes and deeply incised intermittent channels," the proposed stormwater management plan does not address the impact drainage from the Cloudrock Development will have on adjacent properties or on the quality of water of the Glen Canyon Aquifer that underlies the Mesa and is the primary source of culinary water for the City of Moab.

6. MMLC also submitted separate applications for the use-on-review and special exceptions. (See February 6, 2001 applications attached as Exhibit F.) Throughout 2001, the County considered the applications and other related information submitted by MMLC.

Response: Plaintiffs admit that MMLC prepared separate applications for the wilderness lodge use-on-review and special exceptions. Without the Record, however, Plaintiffs deny that the applications included as Exhibit F to Cloudrock's Memorandum were in fact submitted to the County. Similarly, without the Record, Plaintiffs deny that MMLC submitted "other related information" that along with the applications were considered by the County during 2001. Responding further, Plaintiffs note that while separate applications for the use-on-review and special exceptions may have been submitted, it appears from the 2002 Resolution, as defined below, that they were considered as a package along with the Original Master Plan. Furthermore, the applications included as Exhibit F to Cloudrock's Memorandum do not comply with the submittal requirements of the Applicable Land Use Code. *See* Art. VI.L.3.a. of Exhibit H to Cloudrock's Memorandum.

7. On October 31, 2001, the Council, "acting in its legislative capacity," entered into the Johnson's Up-On-Top Mesa Development Agreement ("Original Development Agreement") with MMLC. (See Original Development Agreement attached as Exhibit G.)

Response: Plaintiffs admit that the County Council entered into a development agreement dated October 31, 2001 (the "Original Development Agreement"), with MMLC. Plaintiffs admit that the Original Development Agreement **states** that the County Council was "acting in its legislative capacity" when it made certain determinations with respect to the Development. Plaintiffs deny that merely inserting the clause "acting in its legislative capacity" in the Original Development Agreement transforms administrative County actions into legislative County actions. *See* Low v. City of Monticello, 52 P.3d 1153, 1160 (Utah 2002). In addition, Plaintiffs deny that the County Council had the authority to enter into the Original Development Agreement since that agreement was executed prior to the approval of the Preliminary Plat, Preliminary Master Plan, the Use-On-Review Permit and the two Special Exceptions which are the subject of the agreement. By entering into the Original Development Agreement prior to approving the foregoing, the County illegally obligated itself to such approval without first following the required legal procedures.

8. The Original Development Agreement gave MMLC vested rights in the Development, including in the approved uses, density, and general configuration of the Cloudrock Development. (See Original Dev. Agmt. § 1.1, Ex. G.)

Response: Denied. Whether the Original Development Agreement gave MMLC vested rights in the Development is a legal conclusion. Responding further, Plaintiffs note that Section 1.1 of the Original Development Agreement provides that the vesting of any rights

therein is "**[s]ubject to** approval of the Preliminary Project Plan . . . ." (Emphasis supplied.) *See* Section 1.1 of Exhibit G to Cloudrock's Memorandum. Preliminary Project Plan is defined in the Original Development Agreement as "a preliminary PUD Plat for Phase I . . . and a Preliminary PUD Master Plan . . . together with the Use on Review Permit for the Wilderness Lodge and **two** special exceptions." (Emphasis supplied.) *See* Recital C. of Exhibit G to Cloudrock's Memorandum. Since the County approved only one of the two special exceptions for which application was made in 2001, the Preliminary Project Plan as defined in the Original Development Agreement was never approved. In addition, the approval of the preliminary plat that was granted in February, 2002, lapsed 12 months later by operation of law when the County Council failed to extend that approval within the original 12-month approval period. Accordingly, no development rights have vested under the Original Development Agreement due the failure of these two conditions precedent.

9. *The Original Development Agreement required the developer to agree that the Development will not contain a point source discharge that would adversely affect the aquifer, and that the Development would comply with applicable State of Utah water protection regulations. (Original Dev. Agmt. §§ 1.5., Ex. G.)*

Response: Admitted.

10. The Original Development Agreement contained a provision that the developer could modify the density mixture and configuration so long as the overall density remains the same, that is, one lodge unit per 2.5 acres and one residential unit per 5 acres, and the total area designated as Open Space is not reduced. (See Original Dev. Agmt. § 1.1, Ex. G)

Response: Plaintiffs admit that the Original Development Agreement provides that developer of the Development could modify the density mixture and configuration so long as the

overall density remains the same and the total area designated as Open Space is not reduced **but only if** such modifications are approved following the rules of the Applicable Land Use Code. *See* Sections 1.1 c. and 1.3 of Exhibit G to Cloudrock's Memorandum. Thus, when Cloudrock filed an amendment to change the density of the wilderness lodge (see paragraph 23 below and Exhibit K to Cloudrock's Memorandum), such a change required that the County and Cloudrock follow all of the procedures of the Applicable Land Use Code regarding changes to a use-on-review, including that Cloudrock apply for a *new* use-on-review permit and that the County consider the review criteria of the Applicable Land Use Code to determine whether the *new* wilderness lodge use-on-review was appropriate. *See* Art. VI.L.1. of Exhibit H attached to Cloudrock's Memorandum. Cloudrock, however, did not apply for the new use-on-review permit and the County did not follow the procedures required by Applicable Land Use Code.

11. The Original Development Agreement stated that the Council and MMLC are to abide by the requirements in the 2000 Grand County Land Use Code ("2000 LUC"). (2000 LUC is attached as Exhibit H.)

Response: Plaintiffs admit the Original Development Agreement requires that the County and the developer of the Development comply with the requirements of the Grand County Land Use Code in effect on April 2, 2001 (the "Applicable Land Use Code"), in implementing that agreement, including modifications thereto and to the Development. *See* Section 1.3 of Exhibit G to Cloudrock's Memorandum. Plaintiffs admit that the Applicable Land Use Code is attached to Cloudrock's Memorandum as Exhibit H.

12. On February 4, 2002, the Council passed Resolution #2002-2568 ("2002 Resolution") which approved the PUD rezoning, Original Master Plan, the use-on-review application for the wilderness lodge, and a special exception application for the lodge

accommodation unit size. (See 2002 Resolution, attached as Exhibit I.)

Response: Plaintiffs admit that the 2002 Resolution **states** that it approved the items noted therein. Plaintiffs deny that the 2002 Resolution results in an effective PUD rezoning because (a) the County failed to follow the procedures of the Applicable Land Use Code relative to a zoning map and text amendment, and (b) a map of the zone change was never presented to the County Council at a public hearing as required by Utah law. *See* Utah Code Ann. §17-27a-503, Art. VI.B. of Exhibit H to Cloudrock's Memorandum and Hatch v. Boulder Town Council, 21 P.3d 245, 248 (UT App. 2001).

13. In passing the 2002 Resolution, the Council found that the "access road was redesigned so as to eliminate the need for the requested Road Design Special Exception." (Ex. I.)

Response: Plaintiffs admit that the 2002 Resolution **states** that the access road was redesigned so as to eliminate the need for the requested road design exception, but without the Record, Plaintiffs are unable to admit or deny that the access road was so redesigned and accordingly deny this statement. Plaintiffs also point out that the County Council specifically denied the "Special Exception for Road Design (curve radii, surface treatment right-of-way)" as part of the 2002 Resolution.

14. The Original Preliminary Plat, Development Agreement, Council approval, and PUD rezoning together created what is referred to herein as the Original PUD.

Response: Paragraph 14 appears to merely state definitions used by Cloudrock in Cloudrock's Memorandum, requiring no response from Plaintiffs. To the extent a response is

deemed necessary, the statement is denied. Plaintiffs also object to the inclusion of the Original Development Agreement in the defined term "Original PUD," since that agreement was entered into prior to the adoption of the 2002 Resolution that approved the Cloudrock PUD. Further responding, Plaintiffs point out that the bundling together of all the many components of the Development and referring to that package as a "PUD" does not make the actions taken by the County Council relative to those components legislative, nor does it mean a valid rezoning took place. *See* Low v. City of Monticello, 54 P.3d 1153, 1160 (Utah 2002).

15. No one appealed or otherwise challenged the 2002 Resolution.

Response: Denied. On March 4, 2002, an appeal was filed with the Board of Adjustment challenging the 2002 Resolution. A copy of that appeal is attached as "Exhibit A" to the declaration of Barbara A. Morra attached hereto as **Appendix A.** In response to the appeal, the Board of Adjustment held a hearing on April 29, 2002, to determine whether it had jurisdiction to hear the appeal and held a subsequent hearing on May 22, 2002, to consider the merits of the appeal. *See* the declaration of Barbara A. Morra attached hereto as **Appendix A.**

16. In April of 2001, SITLA (the underlying fee owner for the Development's property) petitioned Grand County to annex the Development into the Spanish Valley Water and Sewer Improvement District. This application resulted in litigation brought to challenge SITLA's request. The relevant facts are set out in the resulting Utah Court of Appeals decision. See Moab Citizens Alliance v. Grand County, 2005 UT App. 323, ¶ 2, 118 P.3d 879, 880. (A copy of Moab Citizens Alliance is attached as Exhibit J.)

Response: Admitted, except that the underlying fee owner of the Development's property is actually the State of Utah.

17. On February 2, 2002, the Council granted SITLA's application for annexation, subject to the State Engineer's approval of the transfer of certain water rights. Id. ¶ 4, 118 P.3d at 880-81

Response: Admitted.

18. The State Engineer approved the water rights transfer in April 2003 and the Moab Citizens Alliance appealed the State Engineer's approval. Moab Citizens Alliance, 2005 UT App. 323, ¶ 5, 118 P.3d at 881.

Response: Without the Record, Plaintiffs deny that State Engineer approved the water rights transfer in April 2003. The case citation relied upon is not a citation to the Record and does not establish this purported fact.

19. This Court heard the challenge brought by certain individuals, at least one of which is a plaintiff here. This Court granted summary judgment to SITLA and the County. See id.

Response: Admitted, assuming that the challenge referred to above in paragraph 19 is the Moab Citizens Alliance lawsuit filed with this Court.

20. On appeal, the Utah Court of Appeals upheld this Court's decision. See id.

Response: Admitted.

21. After the water litigation subsided, Cloudrock Land Company, LLC succeeded to MMLC's interests in the Development.

Response: Without the Record, Plaintiffs are unable to admit or deny when Cloudrock succeeded to MMLC's interest in the Development and accordingly deny this statement.

22. On October 20, 2006, Cloudrock submitted to the Planning Commission an application to amend the Original PUD for the Development. (See Ex. C).

Response: Plaintiffs deny that Cloudrock submitted an application to amend the "Original PUD" to the Planning Commission on October 20, 2006. Plaintiffs admit that Cloudrock prepared a set of maps entitled "Amended Master Plan and Preliminary Phase 1 Plat" for the Development which is dated October 20, 2006. Without the Record, Plaintiffs are unable to admit or deny that the "Amended Master Plan and Preliminary Phase I Plat," a copy of which is attached as Exhibit C to Cloudrock's Memorandum, was submitted for County approval on October 20, 2006, and therefore deny this statement. Furthermore, Exhibit C to Cloudrock's Memorandum is not an application but is simply a series of maps, without relevant descriptions or explanations of their intended purpose or effect.

23. On November 10, 2006, Cloudrock submitted a memorandum to the Planning Commission explaining the modifications proposed in the application for an Amended Master Plan. (See November 10, 2006 Memorandum attached as Exhibit K.)

Response: Plaintiffs admit that Cloudrock prepared a letter/memorandum which purports to be an Amended Preliminary Plat Application and is addressed to the Planning Commission and dated November 10, 2006. Without the Record, Plaintiffs are unable to admit or deny that the referenced letter/memorandum attached to Cloudrock's Memorandum as Exhibit K was submitted to the Planning Commission on November 10, 2006, and accordingly deny this statement.

24. The Amended Master Plan proposed to amend the Original PUD as follows:

i. Alter the density mixture by decreasing the number of wilderness lodge units to 73, increasing the number of residential village lots to 156, and increasing the number of residential mesa sites to 180. This altered density mixture maintains the overall density pattern of one lodge unit per 2.5 acres and one residential unit per 5 acres;
ii. Alter the boundaries of the Original PUD[3] slightly to reflect land exchanges between SITLA and the Bureau of Land Management and to correct the survey of the Original PUD; and
iii. Alter the configuration of certain use components. (Id.)

Response: Plaintiffs deny that Exhibit C to Cloudrock's Memorandum, the only document therein entitled "Amended Master Plan," proposed the alleged amendments stated above in paragraph 24. As noted above in response to paragraph 22, the Amended Master Plan is simply a series of maps. *See* Exhibit C to Cloudrock's Memorandum. Responding further, Plaintiffs deny that the changes proposed for the Cloudrock Development can be fairly characterized as an "amendment" thereto. In order to fully appreciate how Cloudrock's proposals impacted the Development, one must first be familiar with the original submittals and agreements for which approval was granted in 2002, since "elements of the original preliminary plat submission not addressed in the revised submittal are unchanged." *See* Cloudrock's memorandum to the Planning Commission attached as Exhibit K to Cloudrock's Memorandum. Next, one must analyze the Amended Master Plan and the Amended Development Agreement and take into account the special exceptions and wilderness lodge use-on-review for which application was made. Taken altogether, these components so dramatically altered the Development that the County should have required Cloudrock to submit a new application for the entire project.

25. The Planning Commission scheduled a public hearing to first consider the request to amend the Original PUD for December 13, 2006 and gave public notice. (See Exhibit L.)

Response: Plaintiffs admit that the Planning Commission scheduled a public hearing for December 13, 2006, to hear public comment on the Amended Master Plan and Amended Preliminary Phase 1 Plat for the Development as stated in Exhibit L to Cloudrock's Memorandum.

26. On December 13, 2006, the Planning Commission held a public hearing and discussed the amendment request. (See December 13, 2006 Planning Commission Minutes attached as Exhibit M.) The Planning Commission decided to table the motion for approval until January 10, 2007 so that the staff could prepare the required approval documentation. (See id.)

Response: Plaintiffs admit the Planning Commission held a public hearing on December 13, 2006 to discuss the Amended Master Plan and Amended Preliminary Phase 1 Plat as provided in the Planning Commission Minutes. Plaintiffs admit that (a) the Planning Commission requested that staff and Cloudrock draft an amendment to the Original Development Agreement to incorporate the changes to and conditions of approval of the Development and (b) the Planning Commission decided to table the approval until January 10, 2007. Further responding, Plaintiffs deny that the public hearing held on December 13, 2006, was a hearing on a zoning map amendment. *See* the Notice of Public Hearing (Exhibit L to Cloudrock's Memorandum) and the minutes of that hearing (Exhibit M to Cloudrock's Memorandum). Nowhere in the Notice or the minutes of that hearing is there any reference to or a discussion of a zoning map amendment.

27. On January 10, 2007, the Planning Commission voted unanimously to recommend approval of the Amended Master Plan, subject to certain conditions. (See January 10, 2007 Planning Commission Minutes attached as Exhibit N.) The Planning Commission voted to recommend approval but requested an amended development agreement to reflect the recommended changes to the Original PUD and to include the provisions set forth in the January 10, 2007 Minutes. (See id.)

Response: Admitted.

28. After the Planning Commission gave its recommendation, the Council scheduled a public hearing on the amendment request for February 6, 2007 and published public notice. (See Council's notice attached- as Exhibit O.) The Council also posted an agenda for the public hearing. (See February 6 agenda attached as Exhibit P.)

Response: Plaintiffs admit the County Council scheduled a public hearing for February 6, 2007, to hear public comment on the Amended Master Plan and Amended Preliminary Phase 1 Plat for the Development as stated in the published notice attached as Exhibit O to Cloudrock's Memorandum. Without the Record, Plaintiffs are unable to admit or deny that the County Council also posted an agenda for this hearing and therefore deny this statement.

29. The Council heard public comment on the amendment request at the February 6, 2007 public hearing. Several of the Citizens attended the February 6, 2007 Council hearing and provided comment. (See February 6, 2007 Council Minutes attached as Exhibit Q.) The Council did not vote on Cloudrock's amendment request on February 6th. (See id.)

Response: Plaintiffs object to this purported fact in that it is largely based upon what appears to be an unsigned copy of the minutes of the February 6, 2007 meeting. The official minutes of the meetings are, by statute, a necessary part of the Record, which has not been produced. *See* Utah Code Ann. § 17-27a-801(7)(a). Without the Record, it is impossible to

know whether these proposed minutes were ever signed or adopted by the County Council. Without waiving their objections, Plaintiffs admit that the County Council heard public comment on the Amended Master Plan and Amended Preliminary Phase 1 Plat at a hearing held on February 6, 2007. Further responding, Plaintiffs deny that the public hearing held on February 6, 2007, was a hearing on a zoning map amendment. *See* the Notice of Public Hearing (Exhibit O to Cloudrock's Memorandum), the agenda for the public hearing (Exhibit P to Cloudrock's Memorandum) and the purported minutes of that hearing (Exhibit Q to Cloudrock's Memorandum). Nowhere in the Notice, the agenda or the purported minutes is there any reference to or a discussion of a zoning map amendment. In contrast, the Court's attention is directed to the public hearing held immediately before the Cloudrock hearing on February 6, 2007, which was specifically noticed as a hearing on a zone change for a PUD and the minutes of which specifically referenced the zone change request (*see* Exhibits O and Q to Cloudrock's Memorandum).

30. After receiving input from the Planning Commission, County Council, and the public, Cloudrock submitted a draft Amended Development Agreement that incorporated the changes suggested by the Planning Commission in the January 10, 2007 Minutes and other suggested revisions. (See draft Amended Development Agreement attached as Exhibit R.)

Response: Plaintiffs admit that Cloudrock submitted to the County an Amended and Restated Development Agreement dated March 19, 2007, in the form of Exhibit R to Cloudrock's Memorandum. Plaintiffs deny that the Amended Development Agreement incorporated all of the changes suggested by the Planning Commission in the minutes of the January 10, 2007, Planning Commission meeting, as is evident from a comparison of the

Agreement with those minutes. Without the Record, Plaintiffs are unable to admit or deny that the Amended Development Agreement incorporated "other suggested revisions" as alleged above in paragraph 30 and accordingly deny this statement.

31. The Council held another hearing on May 1, 2007 to consider Cloudrock's amendment request. Specifically, the Council considered the proposed Amended Master Plan, the Planning Commission's recommendations and the draft Amended Development Agreement and decided to table the discussion until May 8, 2007. Some of the Citizens were in attendance at the May 1st meeting. (See Minutes for May 1, 2007 meeting attached as Exhibit S.)

Response: Plaintiffs object to this purported fact in that it is largely based upon what appears to be an unsigned copy of the minutes of the May 1, 2007 meeting. The official minutes of the meetings are, by statute, a necessary part of the Record, which has not been produced. *See* Utah Code Ann. § 17-27a-801(7)(a). Without the Record, it is impossible to know whether these proposed minutes were ever signed or adopted by the County Council. Without waiving their objections, Plaintiffs deny that the County Council held a public hearing on May 1, 2007. Plaintiffs admit that the County Council held a **meeting** on May 1, 2007, and considered an ordinance approving the Amended Preliminary Plat for the Development, including an Amended and Restated Development Agreement. Responding further, Plaintiffs note that the Amended and Restated Development Agreement considered by the Council on May 1, 2007, was submitted by Cloudrock late in the afternoon on Friday, April 27, 2007, and was different from the one dated March 19, 2007, and referred to above in paragraph 30 and attached as Exhibit R to Cloudrock's Memorandum. No public hearing was held with respect to either draft of the Amended and Restated Development Agreement. Since both drafts of the Amended and Restated Development

Agreement included special exceptions and changes to the wilderness lodge use-on-review, public hearings should have been held as required by the Applicable Land Use Code. Plaintiffs admit that some of them attended the May 1, 2007, County Council meeting.

32. The County prepared and posted an agenda for the May 8, 2007 meeting. (See agenda attached as Exhibit T.)

Response: Plaintiffs admit that the County prepared an agenda for the May 8, 2007, County Council meeting in the form of Exhibit T to Cloudrock's Memorandum. Without the Record, Plaintiffs are unable to admit or deny that the agenda was posted and therefore deny this statement.

33. At the May 8, 2007 meeting the Council passed Ordinance No. 454, approving the Amended Master Plan and the Amended Development Agreement. The Amended Master Plan and Amended Development Agreement amounted to an amendment to the PUD zoning classification and are referred to herein as the Amended PUD. (See Minutes of May 8, 2007 meeting attached as Exhibit U.)

Response: Plaintiffs object to this purported fact in that it is largely based upon what appears to be an unsigned copy of the minutes of the May 8, 2007 meeting. The official minutes of the meetings are, by statute, a necessary part of the Record, which has not been produced. *See* Utah Code Ann. § 17-27a-801(7)(a). Without the Record, it is impossible to know whether these proposed minutes were ever signed or adopted by the County Council. Without waiving their objections, Plaintiffs admit the first sentence of paragraph 33 above. Plaintiffs deny that the Amended Master Plan and the Amended Development Agreement "amounted to an amendment to the PUD zoning classification." Plaintiffs admit that the Applicable Land Use Code provides

that every PUD district approved thereunder shall be **considered** an amendment to the zoning map. But the Applicable Land Use Code **first provides** that every PUD district "shall follow the procedure of Art. VI.B, Zoning map and text amendment." *See* Art. III.R.3. of Exhibit H to Cloudrock's Memorandum. The procedures of Art.VI.B of the Applicable Land Use Code include the filing of an application for a zoning map amendment, two public hearings, one held by the Planning Commission and one held by the County Council, each properly noticed as to the subject matter of the hearings, i.e., zoning map amendment, and consideration of the issues listed in the Applicable Land Use Code. The County and Cloudrock have not complied with any of the procedures required by the Applicable Land Use Code relative to a zoning map and text amendment.

34. In passing Ordinance 454, the Council found, among other things, that the Amended PUD is (a) consistent with the general plan and zoning provisions of the Grand County Code, (b) "consistent and compatible with the character of existing land uses in the surrounding area," and (c) "the proposed development will not adversely affect the future development of the surrounding area." (Ex. A). The passage of Ordinance 454 effected an amendments to the County's Zoning Map. (See Zoning Map attached as Exhibit V.)

Response: Plaintiffs admit that Ordinance 454 makes the statements included above in paragraph 34 (a), (b) and (c). Without the Record, Plaintiffs are unable to admit or deny whether the findings mentioned in (a), (b) and (c) of paragraph 34 are supported by substantial evidence in the Record. In addition, Plaintiffs deny that the passage of Ordinance 454 effected an amendment to the County's Zoning Map. Under Utah law, an amendment to a county's zoning map is invalid unless the proposed amended zoning map is presented to the county council at a public hearing at which the amendment is considered. *See* Utah Code Ann. §17-27a-503; Art.

VI.B. of Exhibit H to Cloudrock's Memorandum; and Hatch v. Boulder Town Council, 21 P.3d 245, 248 (UT App. 2001). The County Council did not hold a public hearing on an amended zoning map application and no amended zoning map was presented to the County Council at a public hearing as required by law.

35. Citizens appealed the Council's adoption of Ordinance 454 to the Grand County Board of Adjustment ("BOA") and to this Court on June 5, 2007, both within 30 days of the Council's adoption of Ordinance 454.

Response: Plaintiffs admit that they appealed Ordinance 454 to the Grand County Board of Adjustment on June 6, 2007, and filed a Complaint and Petition for Review of Ordinance 454 with this Court on June 7, 2007, both within 30 days of the County Council's decision to approve Ordinance 454.

36. Citizens did not immediately notify the County of this lawsuit. Rather, the County and Cloudrock learned of its existence in August, at which point of time Cloudrock sought permission to intervene as a co-defendant.

Response: Plaintiffs object to this purported fact in that it is not supported by any citation to the Record as required by the Utah Rules of Civil Procedure. Without waiving their objections, Plaintiffs admit that they did not immediately notify the County of this lawsuit, but deny the implication that they had a duty to do so. Plaintiffs' lawsuit has been and continues to be a matter of public record. Plaintiffs are without knowledge as to when the County and Cloudrock "learned of its existence," but note that they sent a letter to the Board of Adjustment dated August 16, 2007, with a copy to Cloudrock, which mentioned the lawsuit. Plaintiffs admit

that on September 6, 2007, Cloudrock filed a request with this Court to intervene as a co-defendant.

37. While this lawsuit has been pending, Cloudrock has proceeded to apply for certain administrative approvals related to the Development. On October 10, 2007, the Planning Commission approved two requests for special exceptions related to thoroughfare standards and the size of lodge units. Citizens attended this hearing and subsequent Planning Commission and BOA hearings related thereto.

Response: Plaintiffs object to this purported fact in that it is not supported by any citation to the Record as required by the Utah Rules of Civil Procedure. Without waiving their objections, Plaintiffs admit the first two statements contained in paragraph 37 above, and note that these applications were conditions of the approval of Ordinance 454. While a few of the Plaintiffs attended the October 10, 2007, hearing of the Planning Commission and subsequent related hearings of the Board of Adjustment and Planning Commission, Plaintiffs deny that all the Plaintiffs were in attendance as suggested above.

38. Cloudrock has also sought and obtained an approval for the re-configuration of its wilderness lodge from the County Council. At the hearing held on November 20, 2007, Citizens attended and argued against Cloudrock's request.

Response: Plaintiffs object to this purported fact in that it is not supported by any citation to the Record as required by the Utah Rules of Civil Procedure. Without waiving their objections, Plaintiffs deny that Cloudrock sought and obtained from the County Council an approval for the "re-configuration" of its wilderness lodge. Plaintiffs admit, however, that Cloudrock filed an application for a **new** use-on-review permit for the wilderness lodge component of the Development, and note that this application was also a condition of the

approval of Ordinance 454. A copy of that application is attached as "Exhibit N" to the declaration of Barbara A. Morra attached hereto as **Appendix A.** The changes to the wilderness lodge use-on-review proposed in that application which include additional commercial or other non-residential uses, cannot fairly be characterized as a "re-configuration." Plaintiffs admit that the County Council approved Cloudrock's use-on-review application on November 20, 2007. Plaintiffs admit that some but not all of the Plaintiffs attended and presented comments at the November 20 hearing in opposition to Cloudrock's application. Plaintiffs have also filed with the Board of Adjustment an appeal of the County Council's approval of Cloudrock's use-on-review application.

PLAINTIFFS' STATEMENT OF UNDISPUTED FACTS

39. In early March, 2002, a group of Grand County residents appealed the adoption by the County Council of Resolution #2002-2568. A copy of the 2002 appeal is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶ 5 and Exhibit A thereto.

40. In April, 2002, the Board of Adjustment held a hearing on the question of the Board's jurisdiction to hear the 2002 appeal. *See* **Appendix A** hereto, Morra Decl. ¶ 6.

41. In May, 2002, the Board of Adjustment held a hearing on the merits of the 2002 appeal. *See* **Appendix A** hereto, Morra Decl. ¶ 9.

42. On February 6, 2007, one or more Plaintiffs attended a pubic hearing held by the County Council on the Johnson's Up-On-Top Mesa Amended Master Plan and Amended Preliminary Phase 1 Plat. *See* **Appendix A** hereto, Morra Decl. ¶ 10.

43. The County gave notice of the February 6, 2007, public hearing in the form attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶ 10 and Exhibit B thereto.

44. To the best of Plaintiff Morra's recollection, a proposed amended zoning map for the Cloudrock Development was not presented at the February 6, 2007, County Council public hearing and a proposed amended zoning map was not discussed at that public hearing. *See* **Appendix A** hereto, Morra Decl. ¶ 10.

45. Sometime during the spring or early summer of 2007, Plaintiff Morra received from Plaintiff Suarez a copy of a County Zoning Map (the "Zoning Map") which he had just obtained from Mary Hofhine, the Grand County Zoning and Planning Administrator (the "Zoning Administrator"). A copy of the Zoning Map is attached hereto. *See* **Appendix A** hereto,

Morra Decl. ¶ 11. and Exhibit C thereto. The Zoning Map at that time did not reference a PUD for the Cloudrock Development.

46. On or about Friday, April 27, 2007, Plaintiff Morra obtained from the County a copy of the Amended and Restated Johnson's Up-On-Top Mesa Development Agreement (the "Amended Development Agreement") that she was told Cloudrock submitted to the County. A copy of the Amended Development Agreement is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶ 13 and Exhibit D thereto.

47. On May 8, 2007, the County Council adopted Ordinance 454. The Amended Development Agreement was approved by Ordinance 454. A copy of Ordinance 454 is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶ 14 and Exhibit E thereto.

48. The Amended Development Agreement, including the Cloudrock Code which is a part thereof, includes accessory facilities and uses for the wilderness lodge use-on-review component of the Cloudrock Development that were not included in the original development agreement dated October 31, 2001, and executed by the County and Cloudrock's predecessor (the "Original Development Agreement"). A copy of the Original Development Agreement is attached hereto. *See* **Appendix A** hereto, Morra Decl.. ¶ 15 and Exhibit F thereto.

49. Section 1.2 u. of the Original Development Agreement states that the "accessory uses and services provided within the Project shall be in accordance with the requirements of Art. III.C.2.h.(2) of the code." *See* **Appendix A** hereto, Morra Decl. ¶ 16.

50. The code is defined in the Original Development Agreement as the Grand County Land Use Code in effect as of April 2, 2001 (the "Applicable Land Use Code"). *See* **Appendix A** hereto, Morra Decl. ¶17 and Recital D and Section 1.3 of Exhibit F thereto.

51. A copy of the Applicable Land Use Code is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶18 and Exhibit G thereto. Art. III.C.2.h.(2) of the Applicable Land Use Code provides that "accessory facilities may include a restaurant, gift shop, employee housing, equestrian facilities and spa." Morra Decl. ¶18.

52. In contrast to the foregoing, the Amended Development Agreement provides that the Cloudrock Development may include multiple restaurants, multiple gift shops, multiple spa facilities, small retail, civic buildings and offices. *See* **Appendix A** hereto, Morra Decl. ¶19 and Section 1.2.z. of Exhibit D thereto and pages 1 and 2 of the Cloudrock Code which is part of Exhibit D thereto.

53. In accordance with Section 1.1 of the Original Development Agreement, Cloudrock was permitted to reallocate densities within the Cloudrock Development; provided the overall densities remained the same and modifications to the development were approved following the rules of the Applicable Land Use Code. *See* **Appendix A** hereto, Morra Decl. ¶20 and Exhibit F thereto.

54. In accordance with Section 1.2.o. of the Amended Development Agreement, the Cloudrock Code provides for exceptions from the Applicable Land Use Code of otherwise applicable dimensional standards, road designs standards and architectural designs. *See* **Appendix A** hereto, Morra Decl. ¶21 and Exhibit D thereto.

55. In accordance with the terms of Ordinance 454, the density equivalent of 152 wilderness lodge units was reallocated to 6 village residential units and 70 mesa residential units. *See* Exhibit E to **Appendix A** hereto.

56. Following the adoption of Ordinance 454, Plaintiffs instructed their attorneys to appeal Ordinance 454. Morra Decl. ¶ 23, 24 and 25.

57. Plaintiffs' attorneys contacted Mary Hofhine, the Zoning Administrator, regarding the procedure to be followed in filing an appeal of Ordinance 454. Ms. Hofhine instructed that an appeal should be filed with the Board of Adjustment. Ms. Hofhine provided counsel with the Notice of Appeal form that the County requires to be filed as part of an appeal. *See* Morra Decl. ¶ 24. A copy of the County's Notice of Appeal form is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶24 and Exhibit H thereto.

58. Plaintiffs filed an appeal of Ordinance 454 with the Board of Adjustment on June 6, 2007. Morra Decl. ¶ 25.

59. A few weeks later, one or more Plaintiffs received a copy of a June 22, 2007, memo which was addressed to the Grand County Attorneys from Cloudrock's counsel ("Cloudrock's June 2007 Memo") asserting that the Board of Adjustment had no jurisdiction to hear Plaintiffs' appeal of Ordinance 454. Morra Decl. ¶26 . A copy of Cloudrock's June 2007 Memo is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶26 and Exhibit I thereto.

60. In response to Cloudrock's June 2007 Memo, Plaintiffs' attorneys submitted to the County Attorneys a letter dated July 12, 2007 ("Plaintiffs' July 2007 Letter"), in which Plaintiffs' counsel explained that the Board of Adjustment does indeed have jurisdiction to hear

Plaintiffs' appeal. A copy of Plaintiffs' July 2007 Letter is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶27 and Exhibit J thereto.

61. On or about July 27, 2007, one or more Plaintiffs received a copy of Cloudrock's reply in the form of a memorandum dated July 25, 2007, ("Cloudrock's Reply"). Cloudrock reiterated its position that the Board of Adjustment lacks jurisdiction to hear Plaintiffs' appeal of Ordinance 454. A copy of Cloudrock's Reply is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶28 and Exhibit K thereto.

62. Rather than sending a response to Cloudrock's Reply to the County Attorneys, Plaintiffs' attorneys sent a letter dated August 16, 2007, directly to the Board of Adjustment ("Plaintiffs' Letter to Board of Adjustment"), in which Plaintiffs requested that the Board of Adjustment hold a hearing on the issue of its jurisdiction to hear Plaintiffs' appeal and urged the Board to engage independent counsel to advise it on matters related to Plaintiffs' appeal. Morra Decl. ¶ 29. A copy of Plaintiffs' Letter to the Board of Adjustment is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶29 and Exhibit L thereto.

63. On or about September 4, 2007, one or more Plaintiffs received a copy of a memorandum addressed to counsel for Plaintiffs and Cloudrock from the County Attorneys (the "County Attorney's Opinion"), in which the County Attorney Morgan (a) stated that she represents both the County Council and the Board of Adjustment and (b) rendered an opinion that the Board lacks jurisdiction to hear Plaintiffs' appeal. The County Attorney's Opinion is attached hereto. *See* **Appendix A** hereto, Morra Decl. ¶30 and Exhibit M thereto.

64. In mid-November, 2007, one or more Plaintiffs learned that Ms. Hofhine, the County Zoning Administrator, apparently had informed one or more members of the Board of Adjustment, in connection with the issue of the Board's jurisdiction to hear Plaintiffs' appeal, that Plaintiffs had expressed a preference to proceed directly to District Court, by-passing the Board of Adjustment. Plaintiffs. Plaintiffs did not express such a preference. Morra Decl. ¶ 32.

65. According to its own terms, Ordinance 454 approved the "Johnson's Up-On-Top Preliminary PUD and Master Plan as proposed, and the Amended and Restated Johnson's Up-On-Top Mesa Development Agreement, subject to the terms conditions" stated therein. In addition, Ordinance 454 does not reference, describe or discuss a rezone for the Johnson's Up-On-Top PUD. *See* Exhibit A to Cloudrock's Memorandum.

ARGUMENT

A. The Board of Adjustment Has Jurisdiction to Hear Plaintiffs' Appeal and this Matter should be Remanded to the Board of Adjustment.

This Court should remand this matter back to the Grand County Board of Adjustment. Plaintiffs, who are required to exhaust their administrative remedies before seeking review in this Court, attempted to do just that but were denied by the County. Cloudrock's assertion that the adoption of Ordinance 454 is a legislative matter which cannot be reviewed by the Board of Adjustment is incorrect. Unlike Plaintiffs' claim for judicial review under Utah Code Ann. § 17-27a-801, which must be decided based upon the Record that is yet to be provided by the County, Plaintiffs request for remand under Rule 65B and the declaratory judgment act is a threshold issue which can and should be decided now.

1. Plaintiffs Are Entitled to Relief Under Utah's Declaratory Judgment Act.

In accordance with the Declaratory Judgment Act, Title 78, Chapter 33, Part 2, Utah Code Annotated 1953, as amended, this Court has the power to declare rights, status and other legal relations:

> "[a] person . . . whose rights, status or other legal relations are effected by a statute [or] municipal ordinance . . . may have determined any question of construction or validity arising under the . . . statute [or] ordinance . . . and obtain a declaration of rights, status or other legal relations thereunder."

Plaintiffs ask this Court to declare their right to a hearing before the Board of Adjustment. The statutes and ordinances upon which Plaintiffs rely are set forth below, and essentially provide that the Board of Adjustment is the "appeal authority" to which decisions applying the County land use code may be appealed. The jurisdiction of the Board to hear

Plaintiffs' appeal was challenged by Cloudrock, and after an exchange of written materials, the County Attorney rendered an opinion that the Board of Adjustment lacks jurisdiction to hear Plaintiffs' appeal. The Board itself, however, took no action on this issue. This was inappropriate because the County Attorney, who acted as the gatekeeper to the Board, had an obvious conflict of interest. She was acting as counsel to the party (the County) whose decision was being challenged on appeal, and thus had an inherent bias in deciding whether the appeal should go forward.

In addition, the County's denial of Plaintiffs' appeal is in direct contrast to the similar 2002 appeal on this same development by a group of concerned citizens, where the Board of Adjustment held a hearing to determine whether it had jurisdiction and concluded that it did. Moreover, the Board of Adjustment apparently was misinformed by County staff to the effect that Plaintiffs did not want to go forward with an appeal to the Board. For all of these reasons, Plaintiffs are entitled to relief under Utah Code Ann. § 78-33-8 of the Declaratory Judgment Act and an Order that (a) declares that the Board of Adjustment has jurisdiction to hear Plaintiffs' appeal; and (b) orders the Board to hear Plaintiffs' appeal forthwith, and stays this action pending that appeal.

2. Plaintiffs Are Entitled Extraordinary Relief Under Utah Rule of Civil Procedure 65B(d)(2) ("Rule 65B").

The Utah Rules of Civil Procedure expressly allow relief in the circumstances presented here, where an administrative body has refused Plaintiffs enjoyment of a right, namely to a hearing before the Board of Adjustment, to which they are entitled. Rule 65B provides:

> "[a]ppropriate relief may be granted: . . . (B) where an . . . inferior court, administrative agency, corporation or person . . . has failed to perform an act required by law as a duty of office, . . . [or] (C) where an . . . inferior court, administrative agency, corporation, or person . . . has refused the petitioner the use or enjoyment of a right . . . to which the petitioner is entitled; . . . ."

Under Section 6.2.2 of the Grand County Land Use Code (Jan. 2007) (the "2007 Land Use Code"),

> "[t]he Board of Adjustment is . . . designated as the appeal authority for purposes of performing the powers and duties described in [Section 6.2 of the 2007 Land Use Code]."

Section 6.2.4 of the 2007 Land Use Code provides that the Board of Adjustment shall have the powers:

> "[t]o hear and decide appeals where it is alleged there is error in any . . . decision or determination made by an administrative board or official in the enforcement of this [2007 Land Use Code] pursuant to . . . Title 17-27(sic)-704 Utah Annotated Code, 1953, as amended."

As described more fully below, the adoption of Ordinance 454 was an administrative decision of the County Council which is subject to review by the Board of Adjustment. When the jurisdiction of the Board of Adjustment was challenged by Cloudrock, the County Attorney, representing both the County and the Board of Adjustment, rendered an opinion that the Board lacked jurisdiction to hear Plaintiffs' appeal. As a result, the Board effectively refused to hear Plaintiffs' appeal, a right to which Plaintiffs are entitled under the 2007 Land Use Code as described above. Plaintiffs are entitled to extraordinary relief under Rule 65B for the failure of the Board to perform an act required by law and for refusing Plaintiffs the use of a right to which they are entitled.

3. Ordinance 454 was a Decision of a "Land Use Authority" which is Properly Subject to Review by an "Appeal Authority" such as the Board of Adjustment.

Under Utah law and the Applicable Land Use Code, the County Council is a "land use authority" (as that phrase is defined in Utah Code Ann. §17-27a-103(18)) and is authorized to approve, among other things, an application for, and amendments to, a planned unit development (a "PUD"), a use-on-review permit, a special exception for road and design standards, and a preliminary plat amendment. *See* Art. III.R.2, Art. VI.L.5, Art. VI.Q.2.a and Art. VI.D.5 of Exhibit H to Cloudrock's Memorandum. All of these decisions involve administering or applying County land use ordinances. When acting in this capacity, the County Council is acting as an "administrative board," and its decisions are subject to review by the Board of Adjustment.

Under LUDMA, counties are required to establish one or more "appeal authorities" (as defined in Utah Code Ann. §17-27a-103(2)) to hear and decide appeals from decisions applying land use ordinances. *See* Utah Code Ann. § 17-27a-701(1). LUDMA further provides that "any person adversely affected by [a] land use authority's decision administering or interpreting a land use ordinance" may appeal that decision to the appeal authority. *See* Utah Code Ann. § 17-27a-703. Under §§2.2 and 6.2.2 of the 2007 Land Use Code, the Board of Adjustment is designated as the appeal authority for an appeal of a land use application. In adopting Ordinance 454, the County Council not only approved proposed changes to a PUD, it also made land use decisions regarding (a) changes to a use-on-review, (b) special exceptions, and (c) changes to a preliminary plat and preliminary master plan, all of which involved "administrating or interpreting a land use

ordinance" with respect to the Cloudrock Development. Accordingly, Plaintiffs' appeal to the Board of Adjustment should have been heard.

Cloudrock argues that Ordinance 454 is a "land use ordinance" under LUDMA and as such an appeal of Ordinance 454 can only be filed in district court. This argument is without merit. First, labeling a decision of the County Council an "ordinance" does not make that decision legislative. The Utah Supreme Court has held that the formal label of a governmental body's action is not determinative and courts must look to the substance of that body's action to determine if it is legislative or administrative. *See* Low v. City of Montecello, 54 P.3d 1153, 1160 (UT 2002). "In general, to be legislative, an ordinance must make a new law; to be administrative, an ordinance must execute or implement an existing law. . . ." Id. *See also* Citizen's Awareness Now v. Marakis, 873 P.2d 1117, 1122 (Utah 1994). It is clear that the County Council in this instance was merely executing and implementing the County's existing zoning laws.

Second, LUDMA provides that "no person may challenge in district court a county's land use decision . . . until that person has exhausted the person's administrative remedies as provided in Part 7 [of this chapter]." *See* Utah Code Ann. §17-27a-801. Thus, LUDMA contemplates that some land use decisions are indeed administrative acts for which administrative remedies are available. The fact that Ordinance 454 may satisfy LUDMA's definition of a "land use ordinance" is not determinative of whether that ordinance is a legislative or administrative decision.

Third, Cloudrock provides no factual support for its argument that Ordinance 454 created new law or policy or was otherwise an exercise of the County Council's legislative powers. Cloudrock offers no legal authority to support a finding that the approval of an amended master plan, an amended preliminary plat or an amended development agreement is a legislative act. Furthermore, as more fully described below, the Amended Master Plan and Amended Development Agreement, both of which were approved by Ordinance 454, consist of numerous administrative decisions that interpreted and applied various existing land use ordinances with regard to the proposed changes to the Cloudrock development, all of which are subject to review by the Board of Adjustment.

B. Ordinance 454 is a Compilation of Decisions Each of Which Applies or Implements Existing Law and is Subject to Review by the Board of Adjustment.

As noted above, the Board of Adjustment clearly has the authority to hear and decide appeals from decisions applying land use ordinances. In adopting Ordinance 454, the County Council made a series of administrative decisions interpreting, applying and/or implementing various land use ordinances with regard to the proposed Cloudrock Development, including the following:

- First, the County Council approved changes to a use-on-review for the wilderness lodge that are subject to the procedural and substantive requirements of the Applicable Land Use Code. *See* Art. VI.L. of Exhibit H to Cloudrock's Memorandum.

- Second, the County Council approved an amendment of an invalid preliminary plat, contrary to the provisions of the Applicable Land Use Code. *See* Art. VI.D.7 of Exhibit H to Cloudrock's Memorandum.
- Third, the County Council authorized accessory uses for the wilderness lodge that are not permitted under the Applicable Land Use Code. *See* Art. III.C.2. h.(2) of Exhibit H to Cloudrock's Memorandum.
- Fourth, the County Council failed to consider the impact that drainage from the Cloudrock Development would have on surrounding properties and the underlying aquifer as required by the Applicable Land Use Code. *See* Art. VI.L.6.c. and Art. VI.B.5.e.(5) of Exhibit H to Cloudrock's Memorandum.
- Fifth, the County Council failed to determine that adequate public facilities were available to serve and support the Cloudrock Development as required by the Applicable Land Use Code. *See* Art. VI.L.6.c. and Art. VI.B.5.e.(5) of Exhibit H to Cloudrock's Memorandum.[4]

In all of the foregoing instances, the County Council made decisions that involved the interpretation, application and/or implementation of the Applicable Land Use Code to the changes to the Development as proposed by Cloudrock. The character and substance of these decisions do not change from administrative to legislative simply because the County Council

[4] In addition to the forgoing, in adopting Ordinance 454, the County Council (a) authorized density for the Cloudrock Development in excess of the maximum allowed by the law; (b) failed to require the submission and prior review of protective covenants relating to environmental issues in violation of the law; (c) approved an amended preliminary plat that did not substantially conform to the approved sketch plan in violation of the law; and (d) approved "special exceptions" in the form of exceptions from otherwise applicable dimensional standards, road design standards and architectural standards, the approval of which is governed by the Applicable Land Use Code.

and Cloudrock rolled them altogether into the Amended Development Agreement or otherwise considered them in connection with proposed changes to a PUD. Since each of these decisions is clearly administrative, they all fall within the jurisdiction of the Board of Adjustment to review.

C. The County Council Did Not Exercise Any Legislative Authority in Adopting Ordinance 454.

Contrary to the assertions set forth in Cloudrock's Memorandum, the County Council did not exercise its legislative authority when it enacted Ordinance 454. Cloudrock cites no facts to support its argument that Ordinance 454 "is the product of a legislative deliberation by the County Council exercising its powers under LUDMA and other provisions of the Utah Code to regulate the use of property within the County." As noted above, under LUDMA a county land use decision can be administrative and a county can regulate land use within its boundaries by implementing, executing or applying existing law use ordinances, which are administrative, not legislative, functions.

It is significant to note that the Applicable Land Use Code provides that the "Planned Unit Development District may be **applied** in all zone districts." (Emphasis supplied.) *See* Art. III.R.1. of Exhibit H to Cloudrock's Memorandum. Thus, in accordance with the plain language of the Grand County ordinances, the approval of a PUD involves the application of existing law to a proposed PUD, an administrative function, and is not the enactment of a new land use law or policy or the exercise of the County Council's legislative powers.

To take an example, in accordance with the Sketch Plan prepared for the Cloudrock Development, Cloudrock's PUD originally consisted of clustering the wilderness lodge and

residential condominium units in one area of the Mesa, thus preserving vast amounts of open space undisturbed except for intermittent single family homes. *See* page 2 of Exhibit D and page 3 of 10 to Exhibit E to Cloudrock's Memorandum. In accordance with its Amended Preliminary Plat Application (*see* Exhibit K to Cloudrock's Memorandum), Cloudrock reallocated the density of the PUD from the wilderness lodge to residential units located further out on the Mesa. This reallocation of density was permitted by the terms of the Original Development Agreement. *See* Section 1.1 of Exhibit G to Cloudrock's Memorandum. Accordingly, this change to the PUD did not require the County Council to enact a new land use law or policy or otherwise exercise its legislative powers.

Similarly, in accordance with the terms of the Amended Development Agreement, Cloudrock effectively changed the use-on-review for the wilderness lodge by reducing the number of lodging units and adding accessory facilities. Changes to a use-on-review are governed by Art. VI.L of the Applicable Land Use Code and do not require the County Council to enact a new land use law or policy or otherwise exercise its legislative powers. *See* Art. VI.L. of Exhibit H to Cloudrock's Memorandum. These changes required only that the County Council apply and implement the requirements of existing applicable law to the proposed changes to the Cloudrock Development.

Furthermore, under the principles set forth in the Marakis decision, supra., the adoption of Ordinance 454 was an administrative, not a legislative, act on the part of the County Council. While the Marakis decision involved a referendum issue, its principles are helpful in analyzing whether the adoption of Ordinance 454 was an administrative or legislative decision. In applying

the framework of the Marakis ruling to Ordinance 454, the first question to be addressed by the Court is whether the ordinance falls within the general purpose and policy of the original County zoning ordinances. Marakis at 1124. If the approvals underlying Ordinance 454 fall within the general purpose and policy of the original zoning law, the adoption of Ordinance 454 amounts to an administrative decision. Id.

There is no dispute that the property to be developed by Cloudrock is zoned RG, Range and Grazing District (the "RG District"), under the County land use ordinances. Permitted uses within the RG District include residential uses and use-on-review, including a wilderness lodge. *See* Art. III.J.3. and 4.of Exhibit H to Cloudrock's Memorandum. In addition, under the Applicable Land Use Code, all subdivisions in a RG District are subject to the requirements of a PUD, Planned Unit Development District, unless the subdivision qualifies for a waiver. *See* Art. III J.2. of Exhibit H to Cloudrock's Memorandum. Under the Applicable Land Use Code, the PUD is designed primarily:

> "to provide flexibility to accommodate mixed-use, non-traditional and innovative developments and renewal. It is further intended to promote more economical and efficient use of the land while providing a harmonious variety of housing choices, a higher level of urban amenities, . . . and the preservation of natural and scenic qualities of open spaces." *See* Art. III.R.1. of Exhibit H to Cloudrock's Memorandum.

As described above in more detail, the changes to the PUD proposed by Cloudrock included a reallocation of residential density and changes to a use-on-review for a wilderness lodge. All of these changes were consistent with and contemplated by the existing RG and PUD zoning ordinances and are within the general purpose and policy of existing Grand County

zoning law. Thus, in accordance with the Marakis test cited above, the adoption of Ordinance 454 was an administrative decision.

Assuming *arguendo* that Ordinance 454 does not comport with the general purpose and policy of the original County RG and PUD zoning ordinances, the Marakis test requires the Court to next consider whether the ordinance varies so materially from existing law to warrant a finding that its adoption was a legislative decision. Marakis at 1124. Under the "material variance" prong of the Marakis analysis, the Court must decide whether Ordinance 454:

> "constitute[s] such a material variation from the basic zoning law of the governmental unit as to constitute . . . the making of a new law rather than merely . . . implementing a comprehensive plan and adjusting it to current conditions." Id.
>
> "A minor change which merely implements the comprehensive plan and adjusts it to the current conditions rebuts the legislative presumption and requires the court to rule that the change was administrative." Id.

The changes proposed by Cloudrock in the Amended Master Plan and Amended Development Agreement were in response to recommendations made by Duany Plater-Zyberk & Company, Architects and Town Planners ("Duany Plater-Zyberk") and consultants to Cloudrock. Those recommendations included reducing density in the wilderness lodge and shifting more density out onto the Mesa, creating thereby a series of compact, pedestrian neighborhoods, but retaining the highest density clustered in much the same location as originally planned. *See* page 2 of Exhibit N to Cloudrock's Memorandum.

The PUD changes intended by the adoption of Ordinance 454, including those proposed by Duany Plater-Zyberk, were either authorized by the Original Development Agreement or governed and contemplated by existing County ordinances. Moreover, the property to be

developed by Cloudrock had already been approved in 2002 for uses similar in density and nature as proposed by the Amended Master Plan and Amended Development Agreement and approved by Ordinance 454. Thus, the changes to the Cloudrock PUD merely implemented the County's RG zone and PUD law, and adjusted them to accommodate the current recommendations of Cloudrock's consultants. In light of the foregoing facts, the changes to the PUD approved by Ordinance 454 do not vary so materially from existing law to satisfy the material variance prong of the Marakis test and are therefore administrative in nature, not legislative.

In contrast to Resolution 2002-2568 pursuant to which the County Council initially approved the Johnson's Up-On-Top PUD, Ordinance 454 makes no reference to a rezone. This is because the PUD rezoning was done in 2002, if it was done at all. Moreover, while the Applicable Land Use Code provides that a PUD district shall be **considered** an amendment to the zoning map, the Applicable Land Use Code also requires compliance with the zoning map and text amendment procedures thereof in connection with a PUD approval. Nothing in the documents referred to by Cloudrock in Cloudrock's Memorandum support a finding that the County Council complied with the zoning map and text amendment provisions of the Land Use Code. While the Planning Commission and County Council held public hearings on Cloudrock's "Amended Master Plan and Amended Preliminary Phase 1 Plat," neither the notice, the agenda nor the minutes of those hearings support a finding that a zoning map amendment was considered at those hearings. In addition, a proposed amended zoning map was not presented at those public hearings as required by LUDMA and applicable case law. *See* Utah Code Ann.

§17-27a-503 and Hatch v. Boulder Town Council at 248. Accordingly, the adoption of Ordinance 454 was not a rezoning decision of the County Council.

Cloudrock relies heavily on the idea that any zoning change is a legislative act to argue that Ordinance 454 was a legislative decision of the County Council. This analysis is without merit here for the following reasons. First, not every rezone is a legislative decision. For example, the Utah Supreme Court has held that the rezoning of property from residential to commercial use in accordance with current zoning ordinances is an administrative act and not legislative. *See* Bird v. Sorenson, 394 P.2d 808 (Utah 1964) and Wilson v. Manning, 657 P.2d 251 (Utah 1982). Second, in light of the facts of this case, it is obvious that there was no amendment of the Grand County zoning ordinances as a result of the adoption of Ordinance 454 because the County and Cloudrock failed to comply with the provisions of both state and local law required to effect a valid zoning amendment. Thus, without a valid zoning amendment, there is no basis whatsoever to find that Ordinance 454 was a legislative decision.

Under Utah law, the approval of an amendment to a PUD is not synonymous with a legislative act. In fact, the Utah Supreme Court has treated a PUD approval as an **administrative** act requiring the application of a standard of review that is different from the standard of review required in a case involving a legislative act. *See* Springville Citizens for a Better Community v. City of Springville, 979 P.2d 332, 336 (Utah 1999). The Utah Supreme Court recently revisited the Springville Citizens decision in Bradley v. Payson City Corporation, 70 P.3d 47 (Utah 2003). In reviewing the basis for treating the PUD approval in Springville Citizens as an administrative decision, the Bradley Court (a) noted that in Springville Citizens the municipality acknowledged

that the PUD approval was an administrative decision; and (b) did not dispute the contention that all of the issues addressed in Springville Citizens "arose from the administrative processing of the PUD application pursuant to the standards set forth in city ordinances." Bradley at 53-54. In light of the foregoing, there is controlling legal precedent that the PUD Amendment as approved by Ordinance 454 was an administrative decision and not legislative.

The approvals granted in accordance with Ordinance 454 did effect changes to the PUD for the Cloudrock Development. In light of the foregoing, however, those approvals did not involve a valid rezone or the enactment of a new land use law or policy and did not require the County Council to exercise any legislative powers. In addition, the approval of Ordinance 454 included numerous administrative decisions on the part of the County Council. Thus, the adoption of Ordinance 454 was not a legislative decision and is subject to review by the Board of Adjustment.

D. The County's Approval of Ordinance 454 Was Arbitrary, Capricious, and Illegal Because the County Failed to Follow Its Ordinances.

For the reasons set forth above, Ordinance 454 was not a legislative decision of the County Council. Accordingly, the standard of review cited by Cloudrock in Cloudrock's Memorandum is not correct. Under LUDMA, only decisions "involving the exercise of legislative discretion" are subject to the highly deferential "reasonably debatable" standard of review. *See* Utah Code Ann. §17-27a-801(3)(b). Even then, legislative decisions are valid only if they are not otherwise illegal and are not entitled to any deference as to legality. Id. An administrative decision, such as Ordinance 454, however, is valid only if the decision is

supported by **substantial evidence** in the record and is not arbitrary, capricious, or illegal.(Emphasis supplied.) Utah Code Ann. §17-27a-801(3)(c). As pointed out herein, without the Record before the Court or parties, it is impossible to know whether substantial evidence exists in the Record which would support the County's decision. Plaintiffs assert, however, that upon production of the Record and full briefing and argument, the law and fact will show that the County acted arbitrarily, capriciously, and illegally in approving Ordinance 454.

Cloudrock's Statement of Undisputed Facts in Cloudrock's Memorandum does not support a finding that no genuine issue of material fact exists with regard to the validity of Ordinance 454. For example, Cloudrock argues that in adopting Ordinance 454 and approving the proposed amended Cloudrock PUD, the County made all the findings required by law. In support of this argument, Cloudrock simply refers to the statement of findings contained in the ordinance itself. Plaintiffs contend, however, that certain of those findings are clearly contrary to the County's General Plan and other documents and comments submitted by Plaintiffs and other members of the public to the County Council for its consideration in connection with the approval of the proposed changes to Cloudrock Development.

Similarly, Cloudrock argues that the Grand County zoning map was amended in connection with the adoption of Ordinance 454 as required by law. As discussed previously herein, Plaintiffs maintain that no public hearing was held with regard to a zoning map amendment and no proposed zoning map was presented to the County Council as required by law. Counties are required to strictly comply with their own ordinances, and substantial compliance is simply not good enough. See Springville Citizens, 979 P.2d at 337-338

("Municipal zoning authorities are bound by the terms and standards of applicable zoning ordinances and are not at liberty to make land use decisions in derogation thereof."). Thus, the zoning map has not been validly amended in accordance with the law.

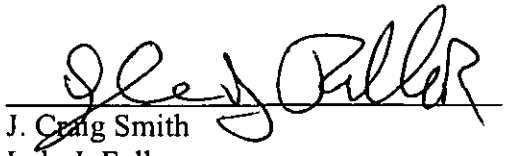
Plaintiffs also take issue with Cloudrock's arguments regarding the site plan and density requirements for the approval of a PUD. But without the Record, the Court is unable to review the factual bases of Plaintiffs' arguments just as it is unable to assess whether the facts of this case support Cloudrock's Motion for Summary Judgment.

CONCLUSION

Before deciding the merits of Plaintiffs' petition for review of an administrative decision, the Court must decide the threshold issue of whether Plaintiffs are entitled to a hearing before the Board of Adjustment. For the reasons stated herein, this matter should be remanded to the Board of Adjustment. Even if the Court were to deny Plaintiffs' request for remand, the Court should still deny Cloudrock's motion for summary judgment on both procedural and substantive grounds. The Court is required by the controlling Utah statutes to decide the merits of Plaintiffs' petition for review based upon the Record compiled and provided by the County. Here, however, the County has not provided the Record, leaving this Court no basis upon which Plaintiffs' claims may be ruled. A binder of select documents compiled by Plaintiffs' litigation opponent is no substitute for the Record which is required. Finally, even if the Record were in place, and the issues were fully briefed on the merits, the Court should still deny Cloudrock's motion because the County's approval of Ordinance 454 was arbitrary, capricious, and illegal.

RESPECTFULLY SUBMITTED this 29th day of January, 2008.

SMITH HARTVIGSEN, PLLC



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CERTIFICATE OF MAILING

I hereby certify that I caused a true and correct copy of the foregoing document to be mailed, postage prepaid, this 29th day of January, 2008 to the following:

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